

VOLUNTARY PROVIDENT FUNDS (VPF)

Voluntary Provident Fund is another type of provident fund that is commonly used. We saw that under EPF, employees and employers make their compulsory contribution. However, if the employee wants to contribute more than what is compulsory, it is done under the Voluntary Provident Fund. It works in a format that is similar to EPF, however, it is much more voluntary. Also, VPF contribution need not be matched by the employer. The rest of the VPF works in a manner that is the same as EPF.

